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TJX Is Dinged by Department Store Crash

Market reaction to TJX's first-quarter results reflects worries that retailer woes will crimp the off-price business model

By Miriam Gottfried

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TJX TJX **0.67%** ▲ Cos. is getting a little taste of the rest of the retail industry's pain. But it should remain an island of relative safety over the long run.

Shares of the owner of T.J. Maxx and Marshall's fell 3.7% on Tuesday after it reported lighter-than-expected first-quarter sales. Same-store sales still climbed 1%, but it was the first time TJX hasn't beaten its guidance since the third quarter of 2014. The company also said earnings in the second quarter would be lower than Wall Street had been forecasting because of foreign currency effects and wage increases. It raised its full-year guidance.

The stock-price reaction reflects the high hurdles investors are putting up for the few retailers that have prospered as peers have faltered. It also illustrates the concern that a department-store malaise could be affecting the off-price business model.

One worry is that liquidation sales related to recent retail bankruptcies at companies like Payless and store closings at Macy's, Sears Holdings and J.C. Penney may be holding back the shift of traffic and sales to off-price stores. TJX told investors Tuesday this wasn't affecting its results, instead blaming poor weather for weaker sales growth.

The fact that TJX's inventory was down 9%, despite overall sales growth of 3.2% may

also have caused some concern among investors. TJX said the decline comes at a good time because there are currently lots of in-season closeouts that it can buy and sell quickly, instead of buying after the season and storing, as it did last year.



A T.J. Maxx store in Pasadena, Calif. MARIO ANZUONI/
REUTERS

The worry is that TJX and its off-price rival Ross Stores won't be able to rely on the discards from shrinking department stores for as much of their inventory. TJX says manufacturers, not retailers, are its primary source of inventory, and it buys from around the world. But manufacturers may also cut back on production if buying from full-price retailers wanes, capping TJX's ability to grow.

If TJX's biggest worry isn't having enough inventory to meet demand, then it is in an enviable position compared with its peers. And while the bad weather excuse may have rung a bit hollow, any effects of department-store liquidations on TJX sales growth should be temporary.

Most important, as long as consumers still enjoy the treasure hunt for discounted high-end goods, TJX's turf should remain relatively Amazon-free.

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